

# MERIDIAN & ASSOCIATES LLP

Audit & Assurance Practice

## Specialist Integration Framework

Protocols for Utilizing IT Audit, Valuation, Actuarial,  
Forensic, and Tax Specialists in Financial Statement Audits

**Document ID:** MA-AA-SF-2026-007

**Version:** 4.0

**Effective Date:** February 10, 2026

**Classification:** CONFIDENTIAL

**Approved By:** National Assurance Quality Board

**Next Review:** January 2027

### CONFIDENTIAL

This document contains proprietary methodologies and procedures of Meridian & Associates LLP. It is intended solely for use by authorized personnel. Distribution outside the firm requires written approval from the National Managing Partner, Assurance Services.

## 1. Purpose and Scope

---

This framework establishes the protocols and standards for integrating specialist expertise into financial statement audits conducted by Meridian & Associates LLP. The use of specialists is governed by PCAOB AS 1210 (Using the Work of a Specialist), PCAOB AS 1201 (Supervision of the Audit Engagement), and ISA 620 (Using the Work of an Auditor's Expert). The engagement partner retains ultimate responsibility for the audit opinion, including all areas in which specialists are involved.

The framework applies to all specialist resources, whether drawn from within the firm's specialist practices or engaged from external third parties. The standards for competency assessment, supervision, communication, and documentation apply equally in both cases.

## 2. IT Audit Specialists

---

### 2.1 Scope of IT Audit Involvement

IT audit specialists are involved on all engagements where the entity's financial reporting relies on information technology systems. For SEC registrant integrated audits, IT audit involvement is mandatory. The IT audit scope typically includes:

- IT General Controls (ITGCs) Testing: Assessment of controls over program change management, logical access and security, computer operations and job scheduling, and program development/system implementation. ITGCs are evaluated across all in-scope applications and databases that support financial reporting.
- SOC Report Evaluation: Review and assessment of Service Organization Controls (SOC 1/SOC 2) reports for third-party service providers used by the audit client. The IT audit specialist evaluates the scope, coverage period, testing methodology, exceptions identified, and complementary user entity controls.
- Cybersecurity Assessment: Evaluation of the entity's cybersecurity posture as it relates to financial reporting integrity, including network segmentation, endpoint protection, incident response procedures, and data loss prevention controls. While not a separate cybersecurity audit, these procedures inform the engagement team's assessment of IT-related risks to financial reporting.
- Automated Application Controls: Testing of key automated controls within the entity's financial reporting applications, including input validation, processing controls, output reconciliations, and interface controls between systems.
- Data Analytics Support: Extraction and validation of data used by the core audit team for substantive analytics, journal entry testing, and other data-driven procedures.

### 2.2 IT Specialist Qualifications

All IT audit specialists assigned to engagements must hold at least one of the following certifications: CISA (Certified Information Systems Auditor), CISSP (Certified Information Systems Security Professional), or CISM (Certified Information Security Manager). Specialists assigned to evaluate complex ERP environments must have documented experience with the specific platform (minimum 3 years for SAP or Oracle environments).

## 3. Valuation Specialists

---

### 3.1 Scope of Valuation Involvement

Valuation specialists are engaged when the audit involves significant fair value measurements, particularly those classified as Level 3 in the fair value hierarchy under ASC 820 (Fair Value Measurement). Common areas of valuation specialist involvement include:

- Level 3 Fair Value Measurements: Independent assessment of management's valuation models and assumptions for financial instruments, contingent consideration, real estate, and other assets and liabilities measured at fair value using unobservable inputs.
- Goodwill and Intangible Asset Impairment (ASC 350/ASC 360): Evaluation of management's discounted cash flow models, market multiples analyses, and other valuation approaches used in goodwill impairment testing, including assessment of discount rates, growth rate assumptions, terminal values, and comparability of guideline companies.
- Purchase Price Allocation (ASC 805): Independent assessment of fair values assigned to identifiable assets acquired and

liabilities assumed in business combinations, including customer relationships, developed technology, tradenames, in-process research and development, and favorable/unfavorable contract assets.

- Share-Based Compensation (ASC 718): Review of valuation models (Black-Scholes, lattice models, Monte Carlo simulations) used to estimate the fair value of stock options, restricted stock units, and performance-based equity awards.
- Contingent Consideration and Earnout Provisions: Assessment of probability-weighted scenarios and discount rates used to measure contingent consideration liabilities arising from business combinations.

### 3.2 Valuation Specialist Qualifications

Valuation specialists must hold the ASA (American Society of Appraisers) or CFA (Chartered Financial Analyst) designation. For complex financial instrument valuations, the specialist must hold the FRM (Financial Risk Manager) designation or demonstrate equivalent expertise through documented experience.

## 4. Actuarial Specialists

---

### 4.1 Scope of Actuarial Involvement

Actuarial specialists are engaged for engagements involving significant actuarially determined obligations or reserves. Key areas include:

- Pension and OPEB Obligations (ASC 715): Independent assessment of the actuarial assumptions used by the plan's actuary, including discount rates, expected return on plan assets, salary escalation rates, mortality tables, turnover rates, and healthcare cost trend rates. The specialist evaluates the reasonableness of assumptions both individually and in the aggregate.
- Insurance Reserves (ASC 944): For insurance company audits, evaluation of loss reserves (both case reserves and IBNR -- incurred but not reported), unearned premium reserves, and deferred acquisition cost recoverability. The specialist performs independent reserve analyses using actuarial methods such as chain-ladder, Bornhuetter-Ferguson, and expected loss ratio approaches.
- Self-Insurance Liabilities: Assessment of self-insurance accruals for workers' compensation, general liability, professional liability, and healthcare claims, including evaluation of development factors and trend assumptions.
- Asset Retirement Obligations (ASC 410): Review of the estimated costs and timing assumptions used to measure asset retirement obligations, including decommissioning, environmental remediation, and lease restoration costs.

### 4.2 Actuarial Specialist Qualifications

Actuarial specialists must be credentialed members of the Society of Actuaries (FSA) or the Casualty Actuarial Society (FCAS). For pension engagements, the specialist must hold the Enrolled Actuary (EA) designation. All actuarial specialists must comply with the Actuarial Standards of Practice (ASOPs) issued by the Actuarial Standards Board.

## 5. Forensic Accountants

---

### 5.1 Scope of Forensic Involvement

Forensic accounting specialists support the engagement team in addressing fraud risk assessment and response requirements under PCAOB AS 2401 and ISA 240. Their involvement includes:

- Fraud Risk Assessment: Participation in the engagement team's fraud brainstorming session (required by PCAOB AS 2401.14), contributing forensic expertise on common fraud schemes, industry-specific fraud risks, and indicators of management override of controls.
- Fraud Risk Procedures: Design and execution of targeted procedures responsive to identified fraud risks, including data mining and analytics for unusual patterns, Benford's Law analysis, vendor and employee relationship analysis, and lifestyle/behavioral red flag assessment.
- Whistleblower Investigations: When the engagement team becomes aware of whistleblower complaints or tips related to financial reporting, the forensic specialist designs and executes investigative procedures, coordinates with the audit client's legal

counsel as appropriate, and assesses the impact on the financial statements and audit report.

- **Management Override Testing:** Enhanced testing of management override of controls, including examination of significant or unusual transactions outside the normal course of business, review of accounting estimates for bias, and evaluation of the business rationale for significant unusual transactions.
- **Anti-Corruption and FCPA:** For multinational audit clients, assessment of Foreign Corrupt Practices Act (FCPA) and anti-bribery compliance risks, including review of payments to government officials, agent and consultant agreements, and travel and entertainment expenditures in high-risk jurisdictions.

## 5.2 Forensic Specialist Qualifications

Forensic accounting specialists must hold the CFE (Certified Fraud Examiner) designation. Specialists assigned to FCPA-related procedures must have demonstrated experience with cross-border corruption investigations and familiarity with the U.S. Department of Justice and SEC enforcement frameworks.

# 6. Tax Specialists

---

## 6.1 Scope of Tax Involvement

Tax specialists are engaged for engagements involving material or complex income tax positions. Their involvement includes:

- **Uncertain Tax Positions (ASC 740-10):** Evaluation of management's identification and measurement of uncertain tax positions under the two-step recognition and measurement framework (more-likely-than-not recognition threshold and largest amount measurement). The tax specialist assesses the technical merits of each significant position and evaluates whether the entity's reserves are reasonable.
- **ASC 740 Review:** Comprehensive review of the entity's income tax provision, including current and deferred tax calculations, effective tax rate reconciliation, valuation allowance assessment for deferred tax assets, and assessment of unremitted foreign earnings (including the impact of GILTI, BEAT, and FDII provisions under the Tax Cuts and Jobs Act, as amended).
- **Transfer Pricing:** For multinational entities, evaluation of intercompany pricing arrangements and related documentation to assess whether transfer pricing positions could result in material tax adjustments.
- **Tax Controversy:** Assessment of the potential financial statement impact of ongoing tax audits, administrative appeals, and tax litigation.
- **Tax Legislation Analysis:** Evaluation of the impact of new or pending tax legislation on the entity's tax provision and deferred tax balances, including interim period adjustments required by ASC 740-270.

## 6.2 Tax Specialist Qualifications

Tax specialists must be licensed CPAs with at least 10 years of relevant tax experience. Specialists advising on international tax matters must have demonstrated expertise in cross-border taxation, including bilateral tax treaties, OECD BEPS guidelines, and Pillar Two global minimum tax rules.

# 7. Engagement Protocols and Supervision

---

The following protocols apply to all specialist engagements:

- **Scope Definition:** The engagement partner, in consultation with the specialist practice leader, defines the scope of the specialist's involvement using the firm's standard Specialist Engagement Memorandum (Form MA-SE-001). The memorandum specifies the audit objective, the relevant assertions, the work to be performed, the timeline, and the expected deliverables.
- **Competency and Objectivity Assessment:** Before utilizing a specialist's work, the engagement team assesses the specialist's professional qualifications, experience, and objectivity. For external specialists, the assessment includes review of credentials, independence, and potential conflicts of interest.
- **Supervision:** The engagement partner and engagement manager are responsible for supervising the specialist's work to the extent necessary to evaluate whether the work constitutes sufficient appropriate audit evidence. This includes reviewing the specialist's assumptions, methods, and conclusions.

- Communication: Regular communication between the core audit team and the specialist is required throughout the engagement. A formal handoff meeting is held at the start of the specialist's work, and a findings review meeting is held upon completion.
- Disagreements: Any disagreements between the core audit team and a specialist regarding conclusions or findings are escalated to the engagement partner and, if unresolved, to the National Office for consultation.

## 8. Documentation Standards

---

The engagement team's work papers must include the following documentation related to specialist involvement:

- The Specialist Engagement Memorandum (Form MA-SE-001) defining scope and responsibilities.
- The competency and objectivity assessment of the specialist.
- A description of the nature, scope, and objectives of the specialist's work.
- The specialist's findings, conclusions, and report (if applicable).
- The engagement team's evaluation of the adequacy and appropriateness of the specialist's work as audit evidence, including the team's own assessment of the specialist's assumptions, methods, and conclusions.
- Any adjustments to the audit plan or additional procedures performed as a result of the specialist's findings.
- Documentation of all communications between the core audit team and the specialist, including disagreements and their resolution.

All specialist work papers are subject to the same retention, access control, and quality review standards as core audit work papers, in accordance with PCAOB AS 1215 and the firm's Documentation Policy (MA-QC-DOC-2025-001).